

invest in structural stocks needs to follow a thorough bottom-up analysis of the stock and sector under consideration.

Avoiding companies that borrow lots of money to grow: Leverage on the balance sheet is beneficial to the extent that it either improves capital efficiency (for example, a cash-generative textile company deciding to raise debt through the Government of India's subsidy on loans under Technology Upgradation Funding Scheme) or helps a company fund a sudden increase in capital expenditure required to fulfil strategic initiatives like M&A or capacity expansion. However, we avoid companies which need leverage to grow revenues, e.g. power, steel and real estate sectors. This is because the illiquidity of their asset base reduces the flexibility required to evolve the company over longer periods of time. This illiquidity arises because of the specialized nature of these assets and their specific use; in cases requiring immediate change of business direction, these assets cannot be sold immediately. Also, changes to the supply of credit in the economy can adversely affect their ROCE. As a result, there is a risk that time and again the focus of the management teams of leveraged companies gets diluted as a large part of their bandwidth gets utilized in trying to service or refinance vast amounts of debt sitting on the balance sheet.

Prefer companies with intangible strategic assets: Strategic assets are those that give a firm a platform over which it can build a stack of initiatives like raw material procurement, product development, marketing strengths, great distribution, pricing power, supply chain, etc., and hence sustain competitive advantages. For most good (but not 'great') companies, strategic assets are only tangible in nature—access to natural resources, strategically positioned real estate, one good CEO, or surplus capital on the balance sheet.

The Coffee Can philosophy, however, prefers companies whose strategic assets are a combination of such tangible strengths alongside intangibles and hence difficult to replicate no matter how much money a competitor is willing to spend. Such intangible assets can either include intellectual property (patents or proprietary know-how), licences or culture-oriented aspects like: a) hiring, incentivizing, empowering and retaining top-quality talent; b) using IT (technology) investments not just as a support function, but